

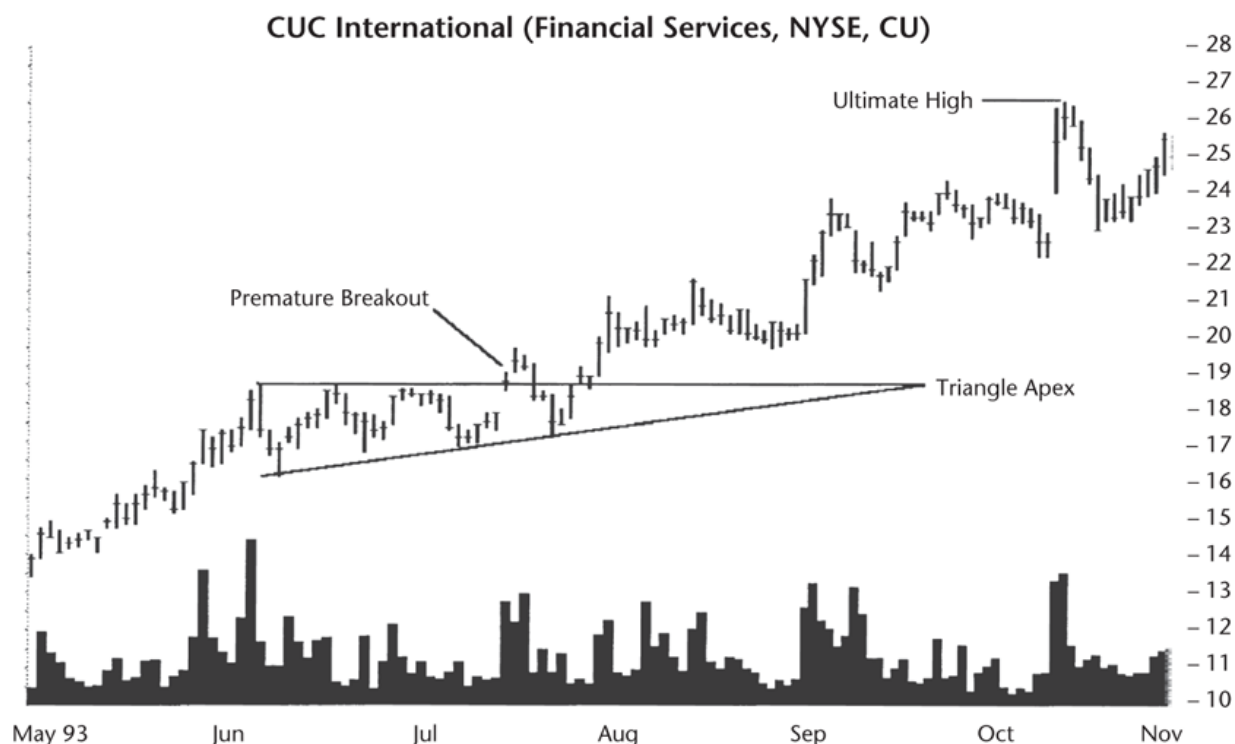


Figure 64.1 The horizontal top and up-sloping trendline on the bottom mark the boundaries of this bullish triangle. The premature breakout on high volume is often indistinguishable from the real breakout. The volume trend is downward until the premature breakout.

Why do ascending triangles form? Imagine you are the manager of a large mutual fund. Over the years your fund has purchased several hundred thousand shares of the company shown in the figure. After seeing the stock rise for almost a year, you are getting nervous about continuing to hold it. You believe the stock is trading well above its fair market value, and you have spotted a more promising situation in another company.

You tell the trading department to dump all of your shares as long as it receives at least 18.50. For 2 days, starting on 4 June 1993, the trading department sells shares. Since your fund has a large block to get rid of, the price cannot climb much above 18.50 without the fund selling shares and forcing price down. The selling puts a ceiling on the stock.

Word gets around that you are selling, and other institutional investors jump on the bandwagon and sell, too. Their aggressive selling satiates demand, and the stock starts declining. It tumbles to a low of 16.25 on 9 June, where buying demand halts the decline. Buyers, viewing the price of the stock as a